

Product Type: Recurring Deposit (RD)

- **Primary Purpose:** Disciplined savings from steady monthly income.
- **Risk Level:**
 - **Low:** Principal and interest are guaranteed by the bank and insured by DICGC up to ₹5,00,000.
- **Suitable For:**
 - Individuals with a steady income looking to build a corpus over time.
 - Goal-based savings for shorter to medium-term requirements (6 months to 10 years).
- **Not Suitable For:**
 - Individuals requiring complete flexibility in monthly contribution amounts.
 - Investors seeking market-linked equity growth.
- **Key Risks:**
 - **Liquidity Risk:** Premature withdrawal incurs an interest rate penalty.
 - **Default Risk:** Penalties are levied for delayed or missed monthly installments.
- **Advisory Restriction:**
 - Interest rates are pegged to Fixed Deposit rates and are subject to change.

DOCUMENT: RECURRING DEPOSIT (RD) POLICY & PRODUCT COMPARISON

1. RECURRING DEPOSIT (RD) POLICY

1.1 Purpose and Objective

The Recurring Deposit (RD) product is designed to provide a disciplined savings framework for individuals with a steady income. It allows the depositor to build a significant corpus over time by making fixed monthly contributions.

1.2 Eligibility & Account Opening

- **Target Segments:** Individuals (Sole/Joint), Minors (represented by parents/guardians), Hindu Undivided Families (HUF), and Charitable Trusts.
- **KYC Requirements:** Standard RBI-prescribed KYC (Aadhaar/PAN) is mandatory.

- **Standing Instructions:** The bank mandates a 'Standing Instruction' (SI) from the customer's Savings or Current account to ensure the timely debit of the monthly installment.

1.3 Tenure and Installment Limits

- **Minimum Tenure:** 6 Months.
- **Maximum Tenure:** 10 Years (120 months).
- **Minimum Installment:** Typically ₹100 or ₹500 (depending on the bank's internal tiering).
- **Installment Regularity:** Once the monthly installment amount is fixed at the time of opening, it cannot be changed during the tenure of the deposit.

1.4 Interest Rate Policy

- **Rate Parity:** Interest rates for RDs are strictly pegged to the Fixed Deposit (FD) rates for the corresponding tenure.
- **Compounding:** Interest is compounded quarterly based on the daily product of the installments received.
- **Senior Citizen Benefit:** Additional interest (typically 0.50% to 0.75%) is applicable to resident senior citizens.

1.5 Defaults and Penalties

- **Delay in Installment:** If the monthly installment is not paid by the due date, a penalty is levied (e.g., ₹1.50 per ₹100 per month for the period of delay).
- **Continuous Defaults:** If installments are missed for six consecutive months, the bank may close the account and transfer the balance to the Savings account after deducting premature withdrawal penalties.

1.6 Premature Withdrawal

- **Penalty:** Breaking an RD before maturity incurs a penalty (usually 1%) on the interest rate applicable for the period the deposit remained with the bank.
- **No-Interest Clause:** No interest is payable if the RD is closed within 15 to 30 days of opening (subject to individual bank policy).

2. SUMMARY COMPARISON TABLE: SAVINGS & DEPOSITS

Feature	Savings Account	Digital Savings	Fixed Deposit (FD)	Recurring Deposit (RD)
Primary Goal	Transactional Liquidity	High Returns + Liquidity	Wealth Growth	Disciplined Savings
Liquidity	Very High	Very High	Low (Lock-in)	Low (Lock-in)
Interest Rate	Low (approx. 3.00%)	High (Up to 7.50%)	High (6.00% - 8.00%)	High (6.00% - 7.50%)
Min. Tenure	N/A	N/A	7 Days	6 Months
Investment Style	Flexible	Flexible	Lump Sum	Fixed Monthly
Taxation (TDS)	Not Applicable	Not Applicable	Applicable (Sec 194A)	Applicable (Sec 194A)

3. REGULATORY COMPLIANCE & SAFEGUARDS

3.1 Tax Deducted at Source (TDS)

Under Section 194A of the Income Tax Act, TDS is applicable on the interest earned on RDs and FDs if the total interest exceeds ₹40,000 (₹50,000 for senior citizens) in a financial year. Customers may submit Form 15G/15H to prevent deduction if eligible.

3.2 DICGC Insurance Cover

All deposits (Savings, FD, and RD) are insured by the DICGC up to a limit of ₹5,00,000 per depositor for both principal and interest in the event of a bank's liquidation.

3.3 Nomination

It is a mandatory policy requirement to obtain a nomination for all RD accounts. If a customer refuses, a written "No Nomination" declaration must be signed.